

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Case No.: 22-23

MARINE TRANSPORT LOGISTICS, INC

Complainant

vs.

CMA CGM S.A.

Respondent

REPLY BRIEF OF THE COMPLAINANT

**CMA ADMITS TO NOT PRODUCING KEW EVIDENCE THAT GOES TO THE HEART OF
THE CLAIM, NAMELY THE NATURE OF CMA'S PRACTICES RELATING TO
ASSESSING DEMURRAGE/DETENTION/STORAGE CHARGES**

In CMA's response to the Complainant's 8th Proposed Finding of Fact ("CPFF"), they admit to not producing the following email that CMA sent to MTL's client's (Public Organization Kodryanka) agent (Favoritplus) on April 14, 2022:

"Dear Customer, POD for NAM4887632 is updated to Constanta. Pls advise when you are going to pick up the cargo. Demurrage and storage are increasing on a daily basis." (See Compl. Ex. 6).

In CMA's response to Complainant's 12th CPFF, they admit to not producing the following email that CMA sent to MTL's client's agent (Favoritplus) nearly three months later, on July 5, 2022:

"We are planning to load container on Stadt Dresden on Jul.19 to Bremerhaven. Please advise if Cnee will be Favorit Plus or to be amended. Thanks to revert with payer and payment location of charges occurred in Constanta, i.e. storage

and yard moves since without duly manifested charges container won't be loaded." (See Compl. Ex. 9).

CMA admits that they did not produce this email and try to explain this by making a blatantly false statement: "Answering further, the email was in MTL's possession but not included in MTL's production." CMA was provided a copy of this email via MTL's production of documents on February 1, 2024 at 8:59AM, when an email with a Dropbox link to supplemental responses was provided to all attorneys of record: Rebecca Fenneman, Kaya Massey, Eric Jeffrey, and Nick Webb. The name of the document where this email was contained was entitled: "Emails involving Kodryanka's agent Favoritplus and CMA."

In CMA's response to Complainant's 18th CPFF, they admit to not producing the following email that CMA sent to MTL's client's agent (Favoritplus) on July 11, 2022:

"We'll fail to catch Stadt Dresden ETS Jul. 19 without payment confirmation and confirmed CNEE Please revert with payer and payment location and let us know if Favorit Plus will stay CNEE in Bremerhaven." (See Compl. Ex. 12).

CMA admits that they did not produce this email and try to explain this by again making a blatantly false statement: "Answering further, the email was in MTL's possession but not included in MTL's production." CMA was provided a copy of this email via MTL's production of documents on February 1, 2024 at 8:59AM, when an email with a Dropbox link to supplemental responses was provided to all attorneys of record: Rebecca Fenneman, Kaya Massey, Eric Jeffrey, and Nick Webb. The name of the document where this email was contained was entitled: "Emails involving Kodryanka's agent Favoritplus, CIS and MTL_3."

The evidence that CMA withheld requires a negative inference and shows that the only reason for not loading the containers at Constanta and then not releasing them in Bremerhaven

was unpaid demurrage charges that CMA improperly assessed and tried to collect and not what CMA's brief in opposition claims (without any documentary support) was the reason: "Sorting through the huge number of containers, processing the many COD and COC requests and getting containers re-routed..."

There is absolutely no evidence of that, but instead—as noted above—there is evidence that was withheld which shows the only reason for not releasing these containers for months was trying to collect unauthorized demurrage charges.

The above practice applied to other shippers, not just MTL, as shown in CPFF 23, 24, 25, 26, and discussed in detail in the opening brief, containing information that CMA produced after MTL's motion to compel. As an example, one company wrote: [REDACTED]

[REDACTED]

[REDACTED] (See Compl. Ex. 18, CMA Bates #66718).

Concerning the same containers the original consignee wrote: [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] (Ex. 19, CMA Bates #66849-66850).

As pointed out in MTL's opening brief, There was no opportunity to follow up on this point with additional request for discovery because even though CMA promised to provide these documents on a rolling basis (See Docket Entry #47 at p. 2, footnote 2), they provided over 20,000 documents on the last and final date of discovery on April 16, 2024. In this footnote CMA says: "CMA will of course make these productions on a rolling basis in order to complete them as soon as possible." Of course, this was not done. Even though they made this representation on January 23, 2024, they delayed production until April 16, 2023.

Additionally, On May 6, 2022, an internal CMA email concerning this subject container and other containers of other customers reads as follows: [REDACTED]

[REDACTED]
[REDACTED] (See Compl. Ex. 8_CMA Bates #70989-70990).

This document clearly shows that the only impediment to releasing of the subject container and the containers of others is the fact that CMA is trying to collect demurrage and other charges for keeping and not loading the containers at Constanta.

The above conduct is unreasonable, especially in light of the Commission's Interpretive Rule on Demurrage and Detention, which says: "Demurrage and detention are valuable charges when applied in ways that incentivize cargo interests to move cargo promptly from ports and marine terminals."

It is being submitted that it appears that the intended purpose of CMA's demurrage/detention/storage practices was revenue generation rather than promoting prompt movement of cargo.

It cannot be a coincidence that CMA withheld only those documents that go to the central issue of this case, namely the true purpose of CMA's demurrage/detention/storage practices. Furthermore, even though CMA admitted during the deposition that there were trainings at CMA with respect to demurrage/detention, they failed to provide any documents with respect to such, even though such was requested on January 26, 2024. (See Compl. Ex. 14).

Booking #NAM3933751, Container #TCNU3475181

CMA's response to CPFF #50 is that they conducted a diligent search and could not locate any documents from Malta customs as to the statement that CMA made: "Per Malta customs Jet skis fall under the same category for this."

Of course they could not find any documents because this is not a truthful statement as shown in Complainant's response to CMA's Proposed Finding of Fact #70.

Booking #4588370 (Allegations #34-36)

CAM's Proposed Findings of Fact does not contain any proposed facts with respect to these allegations, and CMA did not produce any documents concerning these allegations; therefore, it is respectfully being requested that allegations #34-36 in the Verified Amended Complaint be accepted as proof of such. Additionally, see Compl. Ex. 51 that proves that CMA mistakenly rolled another container and continued to pursue demurrage charges.

MTL explained to CMA: "This container has been rolled due to allegedly missed documentation, which both the shipping instructions and validated titles have been submitted."

Booking #NAM5194626 (Allegations 37-40)

Compl. Ex. 52 is another example where CMA's demurrage policy or practice was not designed to promote efficient movement of cargo. Even though MTL presented CMA will all proof that the container should not be rolled, it took CMA approximately 10 months to cancel

the demurrage charges and never advised MTL that demurrage would continue to accumulate during the pendency of the disputes with respect to such.

DAMAGES

In *In re Marketxt Holdings Corp.*, the Court noted: “However, an owner or officer of a business may provide lay opinion testimony as to its value or lost profits only if the testimony is limited to those opinions derived from the witnesses’ personal knowledge of the business and simple calculation of lost profits by comparison with its historical results. For example, in *Securitron Magnalock Corp. v. Schnabolk*, 65 F.3d 256, 265 (2d Cir. 1995), the Second Circuit held that the testimony of a company’s president could be admitted as lay opinion regarding ‘the company’s sales over a period of years...’” Case No. 04-12078(ALG), at 5 (Bankr. S.D.N.Y. Jan.7, 2011).

Likewise, in *Wathne Imports, Ltd. V. PRL USA, Inc.*, it was noted that: “Courts have permitted the owner or office of a business to testify as to lost profits (*see Lightning Lube v. Witco Corp.*, 4 F3d 1153 [3d Cir 1993]). In *Lightning Lube*, the court held there was no abuse of discretion in permitting the plaintiff’s owner to testify as to plaintiff’s lost profits based upon his day-to-day knowledge and experience in his business; the court stated that he was ‘qualified to predict how well Lighting Lube could have been expected to do.’” Index No. 603250/05, at 8 (N.Y. Sup.Ct. 2013).

MTL’s affidavit (Compl. Ex_27(C)) authenticated the transaction histories of the two clients that MTL lost: Public Organization Kodryanka (Compl. Ex_27(A)) and Almotwasit (Compl. Ex_47)).

MTL testified on this point as follows:

(RX_2, at p. 127)

Q. Who was your customer?

A. My customer is Kodryanka and CIS.

(RX_2, at p. 239-240):

Q. Did MTL lose profits because of the containers that CMA stuck in Bremerhaven?

A. MTL lost customer and potential business.

Q. Okay.

A. I think – and I has nothing to do with the—with the tax returns and the federal taxes.

Q. Okay. What customer did MTL lose?

A. Kodryanka.

Q. Okay. Did Kodryanka ever provide money to CMA – I mean to MTL directly and not through CIS?

A. Kodryanka is the part, essential part of the CIS Development. Andrey Kodryanka stopped business with the MTL and he – he doesn't want to work with MTL. Then MTL essentially is losing that and it has nothing to do with my returns.

(RX_2, at p. 241-243)

Q. What is the basis for the amount of actual damages?

A. Very simple. The account what I lost – Kodryanka was very active and it was producing a lot of shipments so just in one year, it's \$82,000, and it was one—it was in '22 he stopped in May working with us. So you see for two years I'm not receiving no income because he doesn't work with me, just multiply, first of all.

Second of all, also, reputation is damaged badly. I received—that part of the business—I mean, Moldavia and Ukraine I lost a lot. I mean the general cargo I don't have no more.

I lost that part of the business, the general cargo going to Moldavia and to Ukraine. Everything that I have right now left is just for the commodity used vehicles—used vehicles.

So what I'm saying to you—that you see that my customers who are working with me and they start working with me. I grew them. I –my job is to grow together with my customers and do whatever is possible for them so they would get stronger and produce more. This is my job.

I have customers who are working with me for the past 15 years and they started just from one container and now they are loading 50 containers every month. So all this potential, all this business, I lost. Besides that, I also have a very bad name right now in Moldavia and Ukraine. Everybody is talking about those containers still.

If the Commission will choose to measure damages in terms of lost profits and not loss of operating revenues, the following is evidence of such.

Attached as Exhibit_55 (next in order from the previous submission of the opening brief) is a true and accurate copy of the transaction report concerning the transactions of the client that MTL lost (Public Organization of Kodryanka), containing income and expenses. When the expenses are subtracted from income, the total yields \$27,149. As to the subject containers where there is a loss due to CMA's conduct, the profit was computed without regard to the additional expenses caused by CMA.

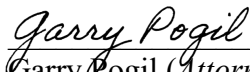
Attached as Exhibit_56 is a true and accurate copy of the profit that MTL has made from its second client that it lost (Almotwasit): \$64,307.

MTL's certification as to these exhibits is attached as Exhibit_57.

As argued in the opening brief, and as noted above, a higher multiple is warranted because there was no reason for either Kodryanka or Almotwasit not to have continued its business with MTL but for CMA's misconduct.

Dated: June 26, 2024

Respectfully Submitted,


Garry Pogil (Attorney for the Complainant)